commits to taking these initiatives further based on the work done by the Bank of International Settlements (BIS, Basel) and the Financial Stability Board (FSB)[27] on new standards for financial regulation.

The commitment to implementing the ***Basel III*** standards for banks is of particular significance to the global economy. The implementation of Basel III capital and liquidity standards starts in 2013 with full implementation envisaged by 2019. To make sure that no financial firm is 'too big to fail' and taxpayers do not bear the costs of resolution, the FSB framework comprising new international standards for resolution, supervision, cross-border cooperation, recovery, and resolution planning from 2016 was endorsed. The FSB has also published an initial list of *Globally Systemically Important Financial Institutions (G-SIFI)* and a five-pronged work plan to develop guidelines on shadow banking. In order to prevent excessive risk taking and discourage excessive pay and bonuses, the FSB has developed principles and standards on compensation.

As the members of the Basel Committee on Banking Supervision (BCBS) and FSB, **India** is actively participating in post crisis reforms of the international regulatory and supervisory framework. The Indian financial sector is well regulated and India remains committed to adopting international standards and best practices *calibrated to its conditions.* As such, banks in India are well capitalised and it is expected that the ***Basel III*** norms are unlikely to put undue pressure on the banking system on aggregate. India had even earlier implemented some countercyclical policies like provisioning norms and differential risk weights (for example for the real estate sector, capital markets, and personal loans) to control build-up of risks even before these were internationally proposed.

But, there are some caveats on the implementation of the emerging regulatory standards across countries. Given that the financial sector in many countries has its specificities, and there is likely to be resistance to change from several market participants, it is yet to be seen whether all these reforms will get carried out in all the countries and not diluted. While all G-20 countries have committed to implement Basel III, major jurisdictions have separately come out with their own regulatory standards: the *Dodd Frank Act* in the United States and the *Vickers Commission* recommendations in the United Kingdom with the EU too having its own